IPO ANALYSIS REPORT · DRHP

SFC Environmental Technologies Limited

Mainboard · Wastewater and solid-waste treatment technology · filed 2025-08-25 · lead manager(s): IIFL Capital Services Limited; JM Financial Limited; Nuvama Wealth Management Limited · issue size Rs 150 cr · price band: Not set (DRHP stage) · analysed 2026-10-22

CALL

Screen only

BUSINESS STAGE

Established leader in its core, scaling into new segments

India's dominant SBR sewage-treatment technology supplier (639 plants, 29.7% operating margin, net cash), moving into biogas and water reuse; our fair value is Rs 330 (Neutral), about 21x FY25 EPS, because rising working capital has kept cash conversion at about 22% of profit. Screen only until the RHP: Subscribe up to about Rs 367, Neutral to about Rs 472.

Revenue FY25 **₹698 cr** CAGR FY23-FY25: **15.9%**	PAT FY25 **₹144 cr** CAGR FY23-FY25: **23.9%**	EBITDA margin **29.7%** FY23: **23.9%**	Cash conversion (CFO / PAT, 3 yrs) **22.2%**
Cash tax rate (3 yrs) **26.1%**	P/E at reference (post-issue) **35.6x** peer median: **34.6x**	Adjusted P/E (earnings quality) **37.5x** reported: **35.6x**	Blended value (Neutral) **₹330.49** vs reference: **-38.0%**

Reference price

₹533

Illustrative reference Rs 533 = the DRHP's own peer-median P/E (34.57x, Praj Industries, 14-Aug-2025 prices) x FY25 EPS Rs 15.42 (p. 168). It is not a price band. The last private price was Rs 225 per share in Apr-2024 secondary transfers, Rs 75 after the 2:1 bonus (p. 173); selling shareholders' average cost is mostly Rs 36.72 (p. 45).

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For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

Screen only

STAGE

Mainboard · DRHP

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Basis. Draft Red Herring Prospectus dated 25-Aug-2025 (SEBI filing 96473) and corrigendum dated 11-Dec-2025. The offer is a **fresh issue of Rs 150 cr** plus an **offer for sale of 1,23,07,500 shares** of Rs 2 by two promoters and nine other shareholders, with an optional pre-IPO placement of up to Rs 30 cr (cover, pp. 29-30). BRLMs: IIFL Capital Services, JM Financial and Nuvama Wealth Management; registrar MUFG Intime. SEBI issued its observation on 12-Dec-2025, valid for about 12 months. **No price band, dates or RHP yet**: we found no RHP on SEBI or NSE on 22-Oct-2026. Restated consolidated financials run to **31-Mar-2025** and are **570 days old**; FY26 numbers are not in the document. All figures are from the DRHP (Rs million converted to Rs crore); printed page numbers are cited.

Call: Screen only. No capital is committed before the RHP. To give the screen a yardstick, values are shown against an **illustrative reference of Rs 533**: the DRHP's own peer-median P/E (34.57x, 14-Aug-2025 prices) times FY25 EPS of Rs 15.42 (p. 168). It is not a price band. Part 9 gives the price levels at which the call rule would read Subscribe, Neutral or Avoid. Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules.

1. Business of the company

- **What it does:** environmental technology for **wastewater treatment (WWT)**, **wastewater recycling and reuse (WRR)** and **solid waste treatment (SWT)** (pp. 29, 260). In WWT it designs and supplies the core technology package for sewage treatment plants: its proprietary C-Tech sequencing batch reactor (SBR) process, plus decanters, diffusers, turbo blowers, fibre-disc filters, solar sludge dryers and PLC / SCADA automation, followed by supervision, O&M and spares (pp. 261-262).
- **Scale:** 639 WWT installations treating 15,209 MLD at 31-Mar-2025 (577 / 13,907 MLD a year earlier). F&S, in an issuer-paid report, puts its share of India's SBR market above 80% (p. 261).
- **Who buys it:** mainly EPC contractors who win municipal STP tenders (top customers include GVPR Engineers, Vishvaraj Environment, Enviro Control, SMC Infrastructures). Top-10 customers were 61.37% of FY25 revenue and the largest 16.76% (pp. 48, 54). In SWT the customer is Goa Waste Management Corporation (GWMC), for whom it built and runs two plants with up to 425 TPD of capacity; the Saligao plant has run for over 8 years (pp. 261-262).
- **New lines:** exclusive Indian distribution of DuPont ultrafiltration, CCRO and MBR membranes for municipal WRR (first order July 2025); compressed-biogas (CBG) plants: Rs 501.70 cr of EPC + 10-year O&M orders from a public-sector oil marketing company for Tinsukia (125 TPD) and Bhubaneswar (300 TPD), won by subsidiary HWTPL in Apr-May 2025; an agri-residue biogas project in Maharashtra and a Punjab acquisition term sheet (pp. 49, 261-262).
- **Segments, FY25 (p. 450):** WWT Rs 469.21 cr (67%), SWT Rs 119.36 cr (17%), automation (Chavare Engineering) Rs 109.29 cr (16%).
- **Group:** subsidiaries include HWTPL and Vasudha Waste Treatment (SWT), Chavare Engineering (automation), Fine Aeration Systems, Pentagen Biofuels and SFC Umwelttechnik GmbH, an overseas company that was one of the issuer's original 2005 shareholders (pp. 35-36, 114, 508).

Stage of the business

Classification: an established leader in its core business, scaling into new segments.

Evidence	Reading
Revenue Rs 519.45 cr → Rs 657.50 cr → Rs 697.86 cr (15.9% CAGR FY23-25), but +6.1% in FY25	Growth slowed in FY25
WWT revenue Rs 377.14 cr → Rs 524.44 cr → Rs 469.21 cr; WWT order book Rs 656 cr → Rs 460 cr in FY25	The core dipped in FY25
Total order book Rs 1,267.50 cr at 15-Aug-2025 (1.8x FY25 revenue), lifted by CBG and WRR orders	New segments are the next leg
Operating EBITDA margin 23.9% → 29.4% → 29.7%; ROCE about 29% each year	A high-return, asset-light core
Working capital 27.8% → 39.9% → 63.5% of revenue (issuer measure)	Growth has absorbed cash

2. Industry outlook

Industry figures are from the Frost & Sullivan report commissioned and paid for by the issuer (p. 260); we have not checked them independently.

- **Sewage treatment:** India's wastewater-treatment market grew at 5.4% a year over FY20-25 and is projected to grow at 9.6% a year over FY25-30, driven by industrial demand, urban growth and groundwater depletion (p. 29). Municipal STP spending runs through state and central programmes such as AMRUT and the National Mission for Clean Ganga, often on the hybrid-annuity model where the government funds 40% of capital cost (pp. 203-209).
- **Recycling and reuse (tertiary treatment):** projected to reach Rs 4,924 cr by FY30, a 30.3% CAGR from FY25, as states mandate reuse of treated water (p. 29).
- **Municipal solid waste:** revenue potential from biogas, electricity, recyclables and compost projected at Rs 30,300 cr by FY30, an 8.5% CAGR (p. 29). The CBG blending obligation on oil marketing companies is creating a pipeline of MSW- and agri-based CBG plants (p. 262).
- **Competition:** listed players with water / waste businesses include Thermax, Praj Industries and Ion Exchange (p. 168), plus VA Tech Wabag and a long tail of EPC contractors and technology licensors. SFC's position is upstream: it is the technology supplier the EPC contractor specifies at tender stage.
- **Read for an investor:** demand is policy-led and long-term; the cash cycle follows government payment cycles through the EPC contractor.

3. Moat and SWOT analysis

Moat

- **Installed base and specification:** 639 plants and over 80% of India's SBR installations (issuer-paid F&S estimate) mean consultants and EPC contractors know and specify C-Tech; each plant adds spares and O&M (p. 261).
- **Proprietary process plus key equipment:** C-Tech and OREX are proprietary; the company makes the critical equipment (decanters, diffusers, blowers) and the automation, so it earns technology and equipment margins together (pp. 261-262). WWT segment margin was 34.7% in FY25 (p. 450).
- **Exclusive DuPont membranes** for municipal WRR in India (p. 261).
- **Operating track record in SWT:** an 8-year-old integrated MSW-to-biogas plant, which matters when bidding for CBG plants (p. 262).

- **Limits:** contracts are mostly purchase orders, not long-term; payment depends on EPC contractors and, behind them, municipal budgets (p. 49).

STRENGTHS

- Over 80% share of India's SBR STP installations; 639 plants, 15,209 MLD (issuer-paid F&S, p. 261)
- Operating EBITDA margin 29.7% and ROCE 29.3% in FY25 (p. 170)
- Net cash Rs 52.35 cr at FY25 (p. 170)
- Proprietary C-Tech and OREX processes with in-house key equipment (pp. 261-262)
- Current tax 26.1% of cumulative PBT (p. 364)

WEAKNESSES

- Working capital 63.5% of revenue; receivable days 262 (p. 34)
- Cumulative CFO about 22% of PAT FY23-25 (p. 368)
- WWT revenue -10.5% and WWT order book -30% in FY25 (pp. 49, 450)
- Top-10 customers 61.37% of revenue; purchase-order contracts (pp. 48-49)
- Two overseas subsidiaries on unaudited accounts (p. 357)

OPPORTUNITIES

- Tertiary treatment market 30.3% CAGR to FY30 (issuer-paid F&S, p. 29)
- Rs 501.70 cr CBG plant orders with 10-year O&M (p. 262)
- Exclusive DuPont membranes for municipal water reuse (p. 261)
- Agri-residue biogas projects (p. 262)

THREATS

- Goa effluent show-cause notice and FIR against HWTPL (p. 507; corrigendum)
- EUR 5.60 m damages claim in Portugal (p. 508)
- Municipal payment delays via EPC contractors (p. 34)
- Technology displacement (p. 33)

4. Management analysis and governance

- **Leadership:** Sandeep Asolkar (56), Chairman and Managing Director, a director since incorporation in 2005; Sarvesh Kumar Garg, Executive Director (on the board since 2020); Saketchandrasingh Dhandoriya, Executive Director, who runs the SWT subsidiaries (pp. 320-321). CFO Amit Sawant; Company Secretary Shweta Deshpande (p. 33).
- **Board:** eight directors: three executive, one non-executive (Chandrakant Gogri, 79, founder of the Aarti group, who is also a shareholder), and four independent directors including one woman (pp. 320-322). The DRHP states compliance with board-composition norms.
- **Promoters and holding:** promoters (Sandeep and Priya Asolkar, Prachiti Asolkar, S. P. Dhandoriya) hold 42.84%, and promoter-group company Asolkar Tradecraft 5.33% (p. 31). After the OFS and the fresh issue the group would hold about 44% at the illustrative Rs 533 (our computation).
- **Pay:** CMD remuneration Rs 4.15 cr in FY25 (about 2.9% of owners' PAT); other executive directors Rs 1.18 cr and Rs 0.69 cr (p. 34). Proportionate for the size of the business.
- **Dividends:** Rs 26.95 cr, Rs 9.34 cr and Rs 31.14 cr declared in FY23-25 (pp. 366-367), paid even in the year operating cash flow was negative.
- **Who is selling:** the OFS of 1.23 crore shares comes from the two executive promoters (27.10 lakh shares), long-standing senior employees and former directors (Garg, Parab, Nambisan, Madurakavi, Yannamani) and three investors (pp. 29-30). Their average cost is mostly Rs 36.72 a share (p. 45). The last arm's-length price was Rs 225 per share in Apr-2024 secondary transfers, **Rs 75 after the 2:1 bonus** (p. 173).

- **Related parties:** dealings outside the group are small (Turbomax India purchases Rs 1.58 cr in FY25) (pp. 34-35). Large loans by the company to its SWT subsidiaries are eliminated on consolidation (p. 36).
- **Litigation and compliance:**
  - The Goa State Pollution Control Board issued a show-cause notice on 16-Jul-2025 to subsidiary HWTPL over open discharge of effluent at the North Goa plant (corrigendum dated 11-Dec-2025). On 21-Aug-2025 a GWMC official filed an FIR against HWTPL and its officials over effluent from a reverse-osmosis tank bund wall (p. 507). GWMC is also the SWT customer.
  - Municipality of Paços de Ferreira, Portugal, claims about EUR 5.60 m (Rs 56.75 cr, 8.7% of FY25 net worth) of liquidated damages from SFC Umwelttechnik GmbH over a 2018 STP supply; defence filed 28-Oct-2024 (p. 508).
  - Tax cases against the company: 11 cases, Rs 2.99 cr (p. 507). An independent director is named in a 2022 Drugs and Cosmetics Act complaint against a former company of hers (p. 508).
- **Audit:** G B C A & Associates LLP; no qualifications. Two overseas subsidiaries (FY25 assets Rs 23.02 cr, revenue Rs 20.07 cr) are on unaudited, management-certified accounts (pp. 356-358).
- **Read:** an owner-run company with an experienced founder, a credible non-executive investor on the board and modest related-party dealings. The points to follow up are the Goa environmental proceedings (operational and customer-relationship risk at one plant), the Portugal claim, and audited accounts for the overseas subsidiaries. None of these, on the DRHP's disclosure, is a material issue under the Fund's rules.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY23	FY24	FY25
Revenue from operations	519.45	657.50	697.86
Growth	n.a.	26.6%	6.1%
Gross margin (our computation)	41.9%	48.7%	50.9%
Operating EBITDA (issuer KPI, excl. other income)	124.07	193.25	207.48
Operating EBITDA margin	23.89%	29.39%	29.73%
Other income	11.38	19.07	29.11
PAT (total)	94.81	144.17	152.01
PAT attributable to owners	93.88	141.61	144.06
EPS (Rs, post-bonus)	10.05	15.16	15.42
Cash flow from operations	30.39	-11.69	65.51
Trade receivables (current + non-current)	238.24	394.51	487.37
Inventory	73.81	108.41	97.58
Borrowings	46.41	139.16	83.71
Net debt (cash)	-78.31	-49.45	-52.35
Net worth (owners)	395.42	534.30	648.68
ROE (issuer)	25.44%	29.80%	24.84%
ROCE (issuer)	28.57%	28.56%	29.29%

Rs crore	FY23	FY24	FY25
Cash conversion cycle (days)	105	156	232

Sources: pp. 32, 170, 362-368, 406-409. Operating EBITDA reproduces from the P&L for FY25: PBT 205.24 + finance cost 13.37 + D&A 17.84 - other income 29.11 + JV loss 0.13 = Rs 207.48 cr.

At the illustrative Rs 533: fresh issue about 28.14 lakh shares; post-issue shares 9.6226 crore; market cap Rs 5,128.9 cr; P/E 35.6x FY25 owners' EPS on post-issue shares (34.6x pre-issue); post-issue net worth about Rs 798.68 cr, P/B 6.42x; EV Rs 4,926.6 cr, EV/EBITDA 23.7x; post-money ROE about 18% on FY25 profit. The OFS would be about Rs 656 cr, so roughly four-fifths of the offer would go to selling shareholders.

Positives and points to monitor

Positives	Points to monitor
Operating EBITDA margin 29.7%; ROCE 29.3% (p. 170)	Receivable days 158 → 262; working capital 63.5% of revenue (p. 34)
Net cash Rs 52.35 cr; debt fell in FY25 (p. 170)	Cumulative CFO about 22% of PAT FY23-25 (p. 368)
Overdue current receivables mostly under six months (p. 409)	WWT revenue and order book down in FY25 (pp. 49, 450)
Gross margin up from 41.9% to 50.9% (p. 364)	FY26 results not yet available

Is the reported P/E right? Earnings quality at Rs 533

Reported P/E is a fair measure: the adjustments found move FY25 PAT by -5.2%, within the 10% threshold. On the FY23-FY25 average, which smooths one-year items, the P/E is 40.5x reported and 42.1x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY25	144.06	14.97	**35.6x**
FY25 after: asset-sale gains	136.87	14.22	**37.5x**
FY25 after: JV / associate share	136.97	14.23	**37.5x**
FY25 after: insurance claim	136.58	14.19	**37.5x**
FY23-FY25 average, reported	126.52	13.15	**40.5x**
FY23-FY25 average, adjusted	121.75	12.65	**42.1x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY23	FY24	FY25	IN ADJUSTED P/E	CONFIDENCE	FY25 P/E IF APPLIED	PAGE
Gains on sale of property, plant and equipment and investment property (in other income) Gains on sale of PPE Rs 0.11 / 1.64 / 5.65 cr and of investment property Rs 1.99 / 1.66 / 3.96 cr FY23-25. Real cash gains, but one-off and not from operations.	-2.1	-3.31	-9.61	! Yes	High	37.5x	pp. 368, 422
Share of profit of a joint venture and associate that no longer exist The joint venture ceased on 08-Aug-2023 and the associate became a subsidiary; the share of profit (Rs 1.31 cr FY23, Rs 2.41	-1.31	-2.41	0.13	! Yes	Medium	35.6x	pp. 358, 364

ITEM AND REASON	FY23	FY24	FY25	IN ADJUSTED P/E	CONFIDENCE	FY25 P/E IF APPLIED	PAGE
cr FY24) does not recur.							
Insurance claim received (in other income) Insurance claim of Rs 0.52 cr in FY25 other income (WWT segment note).	0	0	-0.52	! Yes	Medium	35.7x	p. 450
Interest on fixed deposits, loans and mutual-fund gains (treasury income) Recurring while the company holds cash, but non-operating; excluding it gives the operating P/E. Shown for information.	-6.98	-13.11	-15.15	No (information)	High	38.6x	pp. 368, 422

Also checked, no adjustment needed

✔ Pass Capital work in progress (Rs 5.00 cr FY25) is under a year old with no cost or time overrun stated, and was capitalised in the normal course (Rs 27.15 cr in FY25) (p. 399)

✔ Pass Intangibles are acquired service-concession rights being amortised, not capitalised development or project costs (p. 402)

✔ Pass Expected-credit-loss allowance Rs 10.16 cr on current receivables and Rs 5.25 cr on unbilled receivables is charged through profit (pp. 409, 426-427)

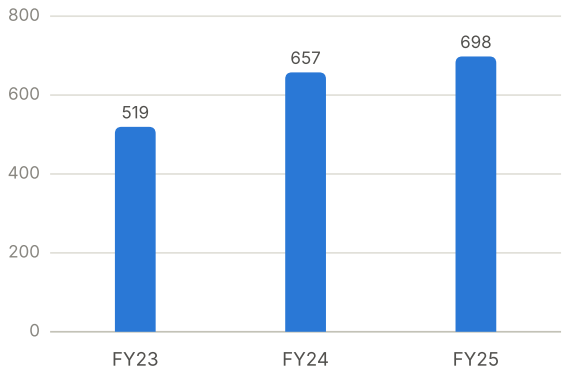
✔ Pass No exceptional items in FY23-25 (p. 364)

✔ Pass Profit taxed in cash: current tax 26.1% of cumulative PBT (p. 364)

✔ Pass No auditor qualifications; no change of auditor stated (p. 32)

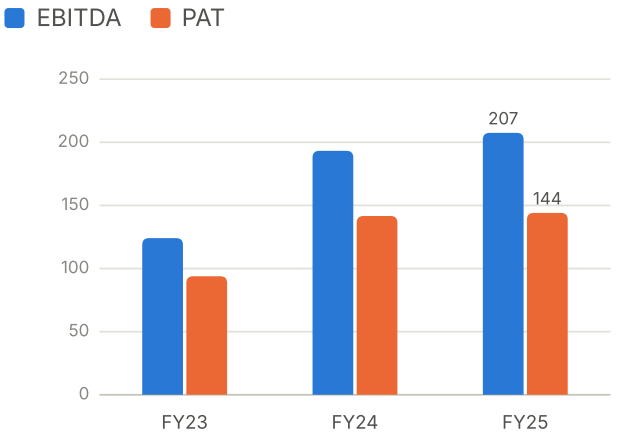
Revenue from operations

Rs crore



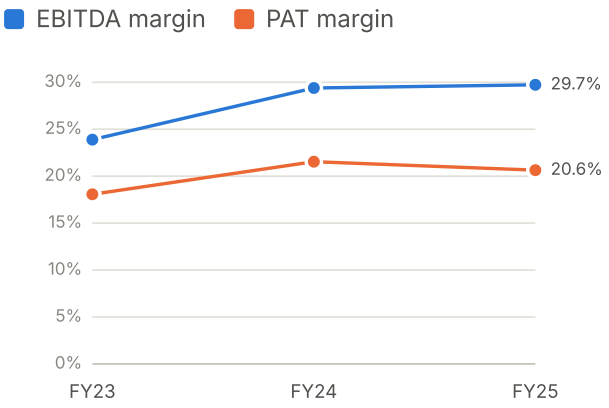
EBITDA and PAT

Rs crore



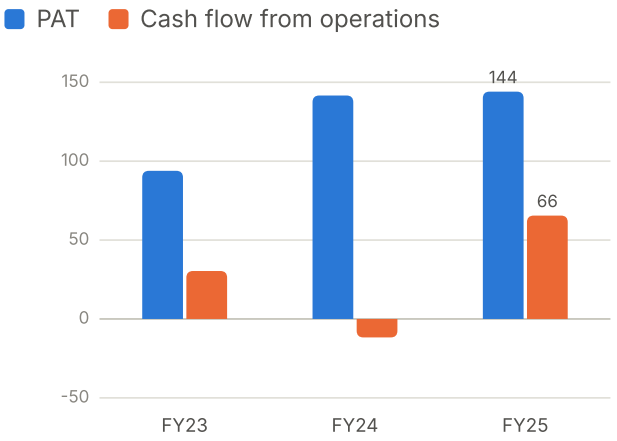
Margins

% of revenue



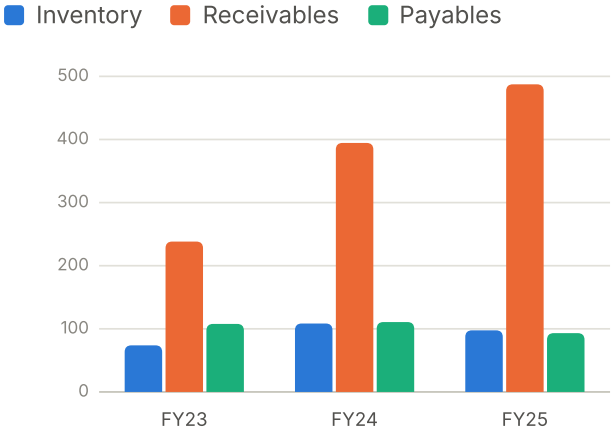
Profit and operating cash flow

Rs crore



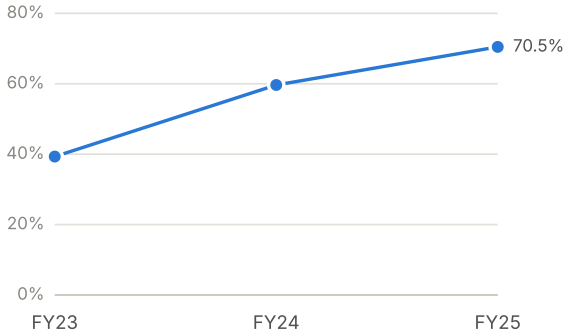
Working capital

Rs crore, year end



Net working capital

% of revenue



6. Future outlook and projections

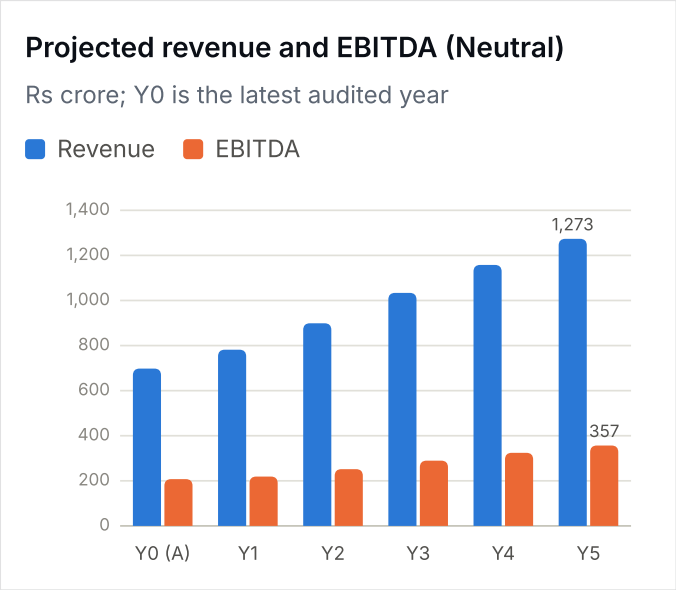
Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

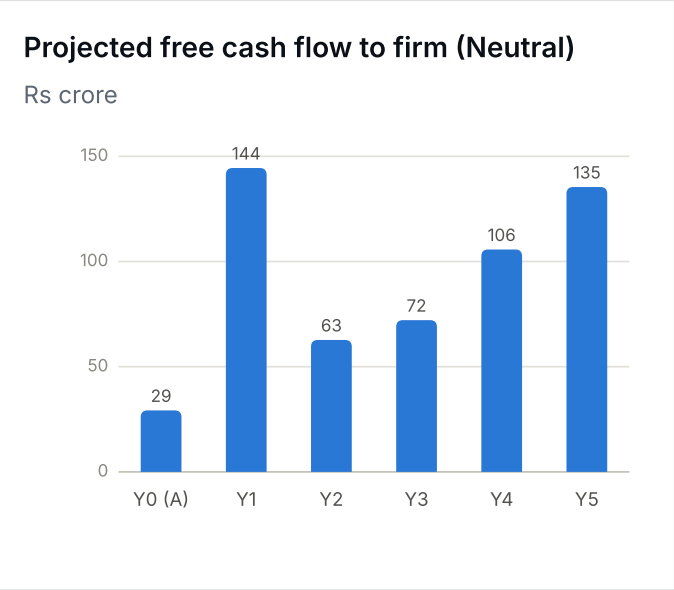
- **Visibility:** total order book Rs 1,267.50 cr at 15-Aug-2025, against Rs 560.39 cr at 31-Mar-2025 and FY25 revenue of Rs 697.86 cr (pp. 49, 170). Most of the jump is the two CBG plants (Rs 501.70 cr including 10-year O&M), so part of it runs over a decade.
- **Use of the issue:** Rs 47.46 cr to repay debt of the company and Vasudha Waste Treatment (all in FY26), Rs 69.67 cr for working capital (FY26-27), balance general corporate purposes (pp. 151-152). It strengthens a balance sheet that is already net cash; it does not fund capacity.
- **Management's stated priorities:** WRR with DuPont membranes, CBG for oil marketing companies, agri-biogas, and O&M (pp. 261-262).

Neutral projection used in the model (Rs crore):

	FY25 actual	Y1	Y2	Y3	Y4	Y5
Revenue growth	6.1%	12%	15%	15%	12%	10%
Revenue	697.86	781.60	898.84	1,033.67	1,157.71	1,273.48
Operating EBITDA (28%)	207.48	218.85	251.68	289.43	324.16	356.57
Free cash flow to firm	n.a.	144.4	62.7	72.1	105.7	135.4

Year 1 free cash flow includes a release of working capital as the ratio moves from 70.5% to the Neutral 60% of revenue; after that, each extra rupee of revenue ties up about 60 paise of working capital.





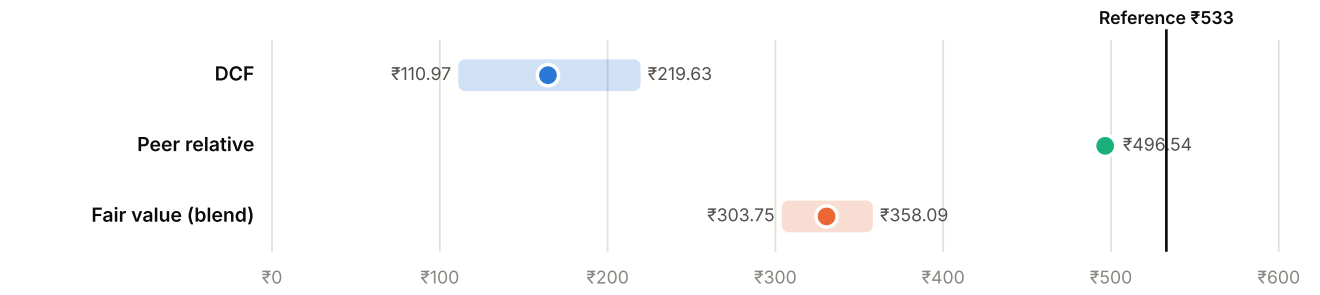
7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Illustrative reference Rs 533 = the DRHP's own peer-median P/E (34.57x, Praj Industries, 14-Aug-2025 prices) x FY25 EPS Rs 15.42 (p. 168). It is not a price band. The last private price was Rs 225 per share in Apr-2024 secondary

transfers, Rs 75 after the 2:1 bonus (p. 173); selling shareholders' average cost is mostly Rs 36.72 (p. 45).

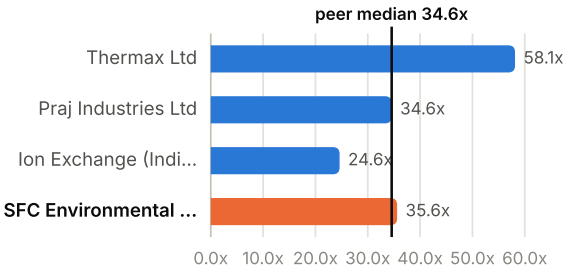
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



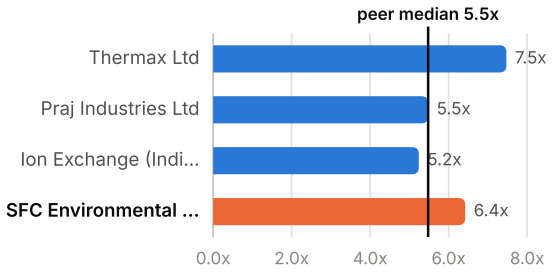
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹110.97	₹496.54	**₹303.75**	-43.0%
Neutral	₹164.44	₹496.54	**₹330.49**	-38.0%
Bull	₹219.63	₹496.54	**₹358.09**	-32.8%

WACC **14.3%**

Terminal value share of EV **74.4%**

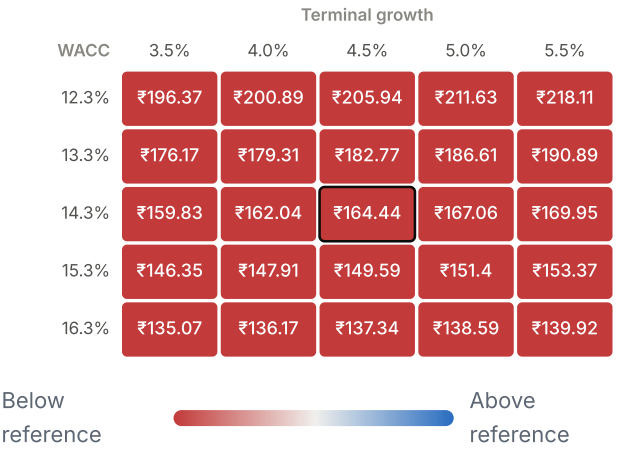
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	13.6%	4.5%
implied WACC at terminal g	5.1%	14.3%
required EBIT margin (steady state)	114.2%	27.2%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	70.5%

The price asks the business to deliver 168.6 times its current free cash flow, in perpetuity.

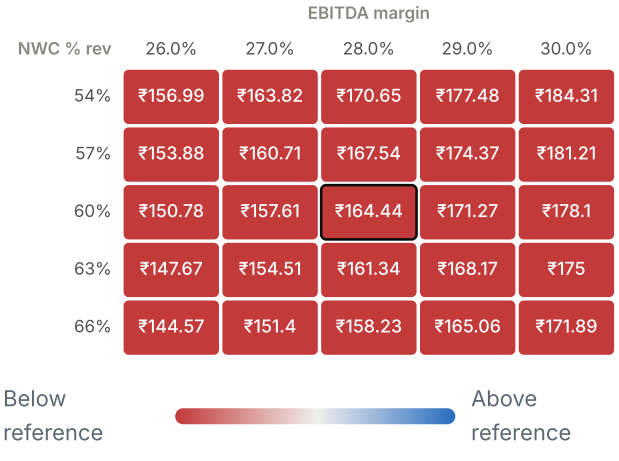
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are those in the DRHP's "Basis for Offer Price" (p. 168): prices are BSE closes on 14-Aug-2025 and FY25 figures, so the multiples are 14 months old.

Company	CMP (Rs)	Revenue FY25 (Rs cr)	EPS (Rs)	NAV (Rs)	RoNW	P/E	P/B
Thermax	3,273.40	10,388.69	56.31	438.17	13.53%	58.1x	7.5x
Praj Industries	411.70	3,228.04	11.91	75.17	16.48%	34.6x	5.5x
Ion Exchange (India)	431.45	2,737.10	17.53	82.36	18.67%	24.6x	5.2x
SFC at illustrative Rs 533 (post-issue)	533	697.86	15.42	69.44	24.36%	**35.6x**	**6.4x**
Peer median					16.48%	34.6x	5.5x

Read: SFC is much smaller than any peer but earns a higher return on equity (24.36% against a 16.48% median) and a higher margin than the diversified peers. Ion Exchange is the closest in business mix and trades at 24.6x; Thermax's 58.1x carries a premium for scale and its energy-transition portfolio. Pricing at the peer median would mean 34.6-35.6x earnings.

DCF and fair value

Inputs (FY25, Rs crore): revenue 697.86; operating EBITDA 207.48; D&A 17.84; owners' PAT 144.06; net worth 648.68; net cash 52.35 (lease liabilities of Rs 53.15 cr excluded, as in the issuer's net-debt KPI); trade working capital 491.78 (FY24 392.21); capex 30.95. Fresh issue Rs 150 cr credited in the equity bridge; no IPO capex. Non-controlling interests (Rs 14.08 cr of equity) are small and not deducted.

Cost of capital (house CAPM, editable): risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%, no company-specific premium; cost of equity 16.2%; pre-tax cost of debt 9.0%; debt weight 20%; **WACC 14.31%**; terminal growth 4.50%. Terminal value is 74.4% of enterprise value in the Neutral case.

Rs per share	Bear	Neutral	Bull
DCF	110.97	164.44	219.63
Relative (peer-median P/E and P/B)	496.54	496.54	496.54
Fair value (50:50 blend)	**303.75**	**330.49**	**358.09**
Against illustrative Rs 533	-43.0%	-38.0%	-32.8%

- **Scenario drivers:** growth 5-8% / 10-15% / 12-22% a year; operating EBITDA margin 24% / 28% / 30%; working capital 70% / 60% / 50% of revenue; terminal ROIC 15% / 20% / 25%. Rationale and page cites are in the valuation workbook.
- **Why DCF and peers diverge (-67%):** the DCF discounts at 14.3% and charges the business for the working capital its growth needs, which caps it at about 11x FY25 earnings in the Neutral case. Listed water and bio-energy peers trade at 25-58x. The divergence is the finding: the market prices this theme well above what today's cash generation supports.
- **Sensitivity (Neutral DCF):** WACC 12.3-16.3% gives Rs 206-137; working capital at 40% / 50% / 70.5% of revenue gives Rs 185 / 175 / 154; terminal ROIC 25-30% gives Rs 171-175. The discount rate matters most.
- **Earnings quality and the relative value:** the reported P/E is a fair measure (part 5), so the relative value needs no adjustment.
- **Reverse DCF at Rs 533:** the price asks the business to deliver 168.6 times its current free cash flow in perpetuity. One lever at a time, it needs perpetual growth of 13.3% (vs 4.5%) or a WACC of 7.5% (vs 14.3%); margin alone cannot get there. **In plain words: a peer-median price assumes SFC is valued like a listed water-and-energy franchise, not on its own cash flows.**

8. Areas to watch and growth drivers

Growth drivers to track

- **FY26 results in the RHP:** revenue against the Rs 1,267.50 cr order book, and whether WWT recovered after FY25's dip (pp. 49, 450).
- **Collections:** receivable days coming back from 262 towards 200, and operating cash flow above 60% of PAT.
- **CBG execution:** progress and margins on the Tinsukia and Bhubaneswar plants, and any equity the group must invest (p. 262).
- **WRR:** order wins for the DuPont membrane offering (p. 261).
- **Margins:** operating EBITDA margin holding near 28-30% as lower-margin EPC work grows (p. 450).

Points to monitor

Item	Now	Why it matters to an investor
Working capital	63.5% of revenue; receivable days 262 (p. 34)	Decides how much profit becomes cash
Goa environmental proceedings	Show-cause notice (Jul-2025) and FIR (Aug-2025) against HWTPL	Plant operations and the GWMC relationship
Portugal claim	EUR 5.60 m against SFC Umwelttechnik GmbH (p. 508)	Possible cash outflow, 8.7% of net worth
Overseas subsidiaries	Unaudited accounts consolidated (p. 357)	Reporting quality
Price versus the Rs 75 bonus-adjusted pre-IPO price	Apr-2024 transfers at Rs 225 (p. 173)	Shows how much of the offer price is new pricing
OFS share of the offer	About four-fifths at the illustrative price	Most money goes to selling shareholders

What would change our view

- **Towards Subscribe or Neutral:** a price band near or below the fair-value range (part 9), or FY26 numbers showing growth back above 15% with receivable days falling, which would lift the DCF.
- **Towards Avoid:** a band at or above peer-median multiples without better cash conversion; an adverse order in the Goa proceedings that disrupts the SWT plants; a provision against the Portugal claim.

Risks

- Delays in payments from EPC contractors and municipalities (p. 34).
- Customer concentration and purchase-order (not long-term) contracts (pp. 48-49).
- Capital and working-capital needs of SWT and CBG projects (p. 34).
- Technology change in wastewater treatment (p. 33).
- Environmental and safety incidents at operated waste plants (p. 34).

9. Conclusion

CALL

Screen only

STAGE

Mainboard · DRHP

India's dominant SBR sewage-treatment technology supplier (639 plants, 29.7% operating margin, net cash), moving into biogas and water reuse; our fair value is Rs 330 (Neutral), about 21x FY25 EPS, because rising working capital has kept cash conversion at about 22% of profit. Screen only until the RHP: Subscribe up to about Rs 367, Neutral to about Rs 472.

Business stage Established leader in its core, scaling into new segments

Screen only (DRHP stage; no price band).

The investment case. SFC is the dominant technology supplier for SBR sewage treatment plants in India, with 639 installations, a 29.7% operating EBITDA margin, about 29% ROCE, net cash, and profit taxed in cash. The order book more than doubled to Rs 1,267.50 cr by August 2025 as it moved into CBG plants and membrane-based water reuse, both backed by policy. The reported P/E is a fair measure of its earnings.

What holds the value down. Working capital has risen from 28% to 64% of revenue, so only about 22% of three years' profit arrived as operating cash; the core WWT business dipped in FY25; and the offer is mostly an OFS by early shareholders whose average cost is Rs 36.72. The Goa environmental proceedings and the Portugal claim need answers in the RHP.

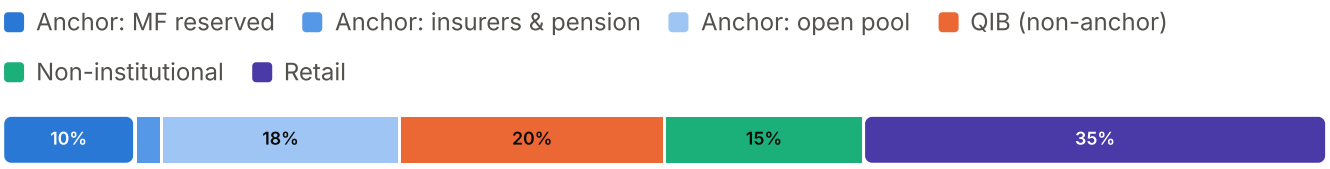
Valuation. Fair value Rs 304 / **Rs 330** / Rs 358 (Bear / Neutral / Bull), about 21x FY25 EPS in the Neutral case. **Price guide under the Fund's call rule** (fair value fixed, ignoring the small effect of price on the fresh-share count): **Subscribe up to about Rs 367** (Neutral within 10% of price; 23.8x FY25 EPS), **Neutral from about Rs 367 to Rs 472** (Neutral within 30%; up to 30.6x), **Avoid above about Rs 472**. At the illustrative peer-median Rs 533 the Neutral value is 38.0% lower and the Bull value 32.8% lower, which would read Avoid. We will re-run the screen on the RHP's FY26 numbers and the actual band.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 150 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Pre-issue non-promoter shareholders (other than OFS shares)	388.16	180
Promoter and promoter-group holding above 20% of post-issue capital	230.43	180
Promoters' minimum contribution (20% of post-issue capital)	192.45	540

Lead manager: JM Financial Limited

Listed: Yes (NSE: JMFINANCIL)
Owner: Promoted by the Kampani family: J M Financial & Investment Consultancy Services Pvt Ltd 24.77%, Nimesh Kampani 13.11%, J M Assets Management Pvt Ltd 11.36%, Aruna Kampani 2.82%, SNK Investments 1.95%, Vishal Kampani 1.36%; promoter group about 57% (June 2026)

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	19	54,666
FY2025-26	27	67,532
FY2024-25	13	25,543

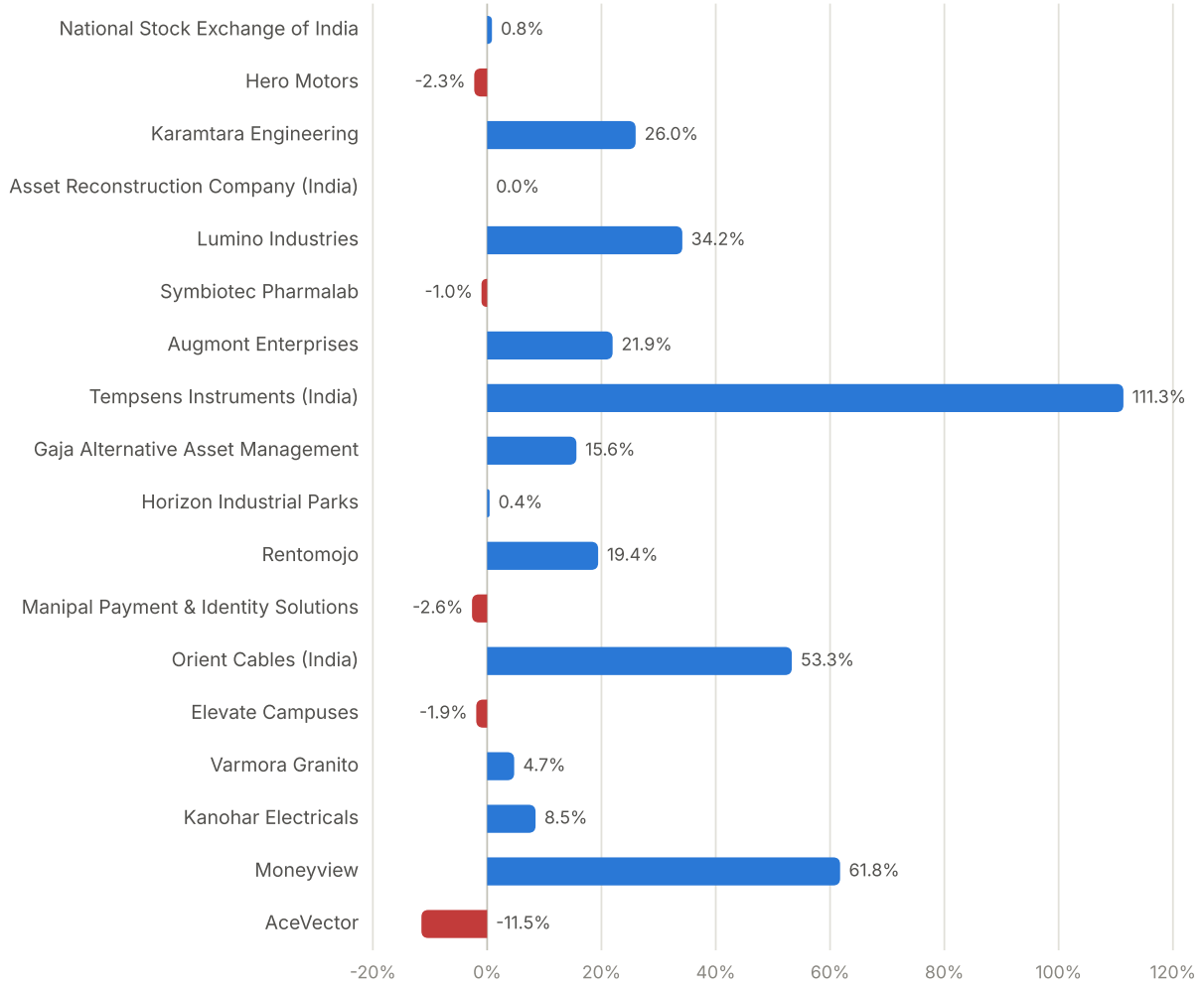
Lead manager: IIFL Capital Services Limited

Listed: Yes (formerly IIFL Securities Limited) - listing status per secondary sources, unverified
Owner: Promoter group led by the IIFL founders; shareholding percentages not sourced in this run

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2024-25	16	48,174
FY2025-26	29	71,009
FY2026-27	19	42,072

Lead managers' recent issues: listing-day open vs issue price

Offer-document data



Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✔ Pass	1:5 split (05-Sep-2024) and 2:1 bonus (05-Sep-2024) are reflected: EPS 10.05 / 15.16 / 15.42 FY23-25 are on the post-bonus count of 9,34,11,270 shares.	pp. 43-46, 119
2	Cash flow vs profit	! Watch	Operating cash flow Rs 30.39 cr / -11.69 cr / 65.51 cr FY23-25 against PAT Rs 94.81 / 144.17 / 152.01 cr: cumulative CFO/PAT about 22% (owners' PAT basis). Working capital rose from 27.8% to 63.5% of revenue as receivable days went 158 → 197 → 262. FY25 cash flow recovered as collections improved; typical of a technology supplier paid on municipal STP project milestones, but the trend is the key thing to track.	pp. 34, 368
3	Current vs deferred tax	✔ Pass	Current tax 26.1% of cumulative FY23-25 PBT; income tax paid Rs 135.80 cr over three years. Profit is taxed in cash.	pp. 364, 368
4	Related-party capex & subsidiaries	✔ Pass	Related-party dealings outside the group are small (Turbomax India purchases Rs 1.58 cr FY25). Large intra-group loans to SWT subsidiaries (Vasudha, HWTPL, Pentagen) are eliminated on consolidation. Dividends Rs 31.14 cr paid in FY25.	pp. 34-36
5	Objects arithmetic as price floor	– N.A.	Fresh issue is amount-based (Rs 150 cr), no fixed share count. Rs 47.46 cr repays debt (company and Vasudha Waste Treatment), Rs 69.67 cr funds working capital, balance GCP (cap 25%) and expenses. No capex object.	pp. 151-152
6	Revaluation reserve	○ Open		
7	Goodwill vs tangible equity	✔ Pass	Goodwill Rs 2.81 cr; other intangibles Rs 7.26 cr are service-concession rights acquired with a subsidiary in Oct-2023, amortised Rs 5.57 cr a year - not capitalised development costs.	pp. 362, 402
8	Customer / supplier / geographic concentration	✔ Pass	Top customer 16.76% and top-10 61.37% of FY25 revenue (EPC contractors building municipal STPs); top-10 suppliers 47.71% of purchases. Usual for a project-linked technology supplier.	pp. 48, 54
9	Contingent liabilities	! Watch	Contingent liabilities tiny (Rs 0.02 cr), but subsidiary SFC Umwelttechnik GmbH faces a EUR 5.60 m (Rs 56.75 cr, 8.7% of FY25 net worth) liquidated-damages suit in Portugal over a 2018 STP supply; defence filed 28-Oct-2024, pending.	pp. 33, 508
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	G B C A & Associates LLP audit with no qualifications; two overseas subsidiaries (FY25 assets Rs 23.02 cr, revenue Rs 20.07 cr) are consolidated on unaudited, management-certified accounts. Small, but should be audited by the RHP.	pp. 356-358
R2	CARO / audit trail	○ Open		
R3	Monitoring agency	✔ Pass	Fresh issue Rs 150 cr: a monitoring agency is mandatory above Rs 50 cr; to be named in the RHP.	p. 151
R4	Eligibility re-computation	○ Open		

#	CHECK	RESULT	FINDING	PAGE
R5	SME conditions	– N.A.	Mainboard issue under Reg 6(1).	cover
R6	Lead-manager track record	○ Open	BRLMs IIFL Capital, JM Financial and Nuvama: IIFL and JM track records are in the desk database; Nuvama not yet compiled.	p. 529
R7	Firm means of finance	– N.A.	No capex object.	p. 151

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:** fresh issue Rs 150 cr (less any pre-IPO placement of up to Rs 30 cr) plus an OFS of 1,23,07,500 shares; employee reservation possible; QIB up to 50% (anchor up to 60% of that), NII at least 15%, retail at least 35% (pp. 29-30, 540).
- **OFS sellers (pp. 29-30):** Sandeep Asolkar (with Priya Asolkar) 18.67 lakh; S. P. Dhandoriya 8.43 lakh; Sarvesh Kumar Garg 23.77 lakh; Sandeep Parab, Rajesh Nambisan and Kumaraguru Madurakavi 19.75 lakh each; V. V. S. Yannamani 9.22 lakh; Jaya Gogri (jointly) 2.30 lakh; Jayshree Shah 0.70 lakh; Hardik Matalia and Parag Shah 0.37 lakh each.
- **Objects:** debt repayment Rs 47.46 cr; working capital Rs 69.67 cr; general corporate purposes up to 25% of gross proceeds (p. 152).
- **Share history:** 1:5 split and 2:1 bonus on 05-Sep-2024; 9,34,11,270 shares of Rs 2 before the offer (pp. 46, 113, 119). Weighted average cost of shares acquired in the last 3 years Rs 42.18 (p. 43).
- **Anchor book:** not applicable until the RHP.
- **Lock-ins (to be confirmed in the RHP):** promoters' minimum contribution (20% of post-issue capital) for 18 months and the excess for six months, as there is no capex object; other pre-issue holders for six months; anchor shares 50% for 30 days and 50% for 90 days.

Appendix B: Merchant bankers

- **IIFL Capital Services Limited:** 16 / 29 / 19 IPOs managed in FY25 / FY26 / FY27 to date (desk database). Of FY26 issues, 18 traded above the issue price at day 30 and 11 below.
- **JM Financial Limited** (Kampani family, listed): 13 / 27 / 19 IPOs in FY25 / FY26 / FY27 to date. Of FY26 issues, 15 traded above the issue price at day 30 and 12 below; at day 180, 15 above and 12 below.
- **Nuvama Wealth Management Limited:** track record not yet compiled (DRHP p. 529).

Large, active managers with mixed after-market outcomes, as is usual across a full year of issues.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Split, bonus and share count	PASS	Sep-2024 split and bonus reflected in EPS (pp. 43-46)
2	Cash flow vs PAT	WATCH	Cumulative CFO/PAT about 22%; receivable days up to 262 (pp. 34, 368)
3	Current vs deferred tax	PASS	Current tax 26.1% of PBT (p. 364)
4	Related-party dealings	PASS	Small outside the group (pp. 34-36)
5	Objects as price floor	N.A.	Amount-based fresh issue; no capex (p. 151)
7	Goodwill and intangibles	PASS	Goodwill Rs 2.81 cr; acquired concession rights (p. 402)
8	Concentration	PASS	Top customer 16.76%; top-10 61.37% (p. 48)
9	Contingent liabilities and claims	WATCH	Portugal claim EUR 5.60 m (p. 508)
R1	Auditor	WATCH	No qualifications; two overseas subsidiaries unaudited (p. 357)
R3	Monitoring agency	PASS	Required; to be named in the RHP
R6	BRLM track record	OPEN	Nuvama not yet compiled

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
Price band, dates and RHP	High	RHP / exchange notice
FY26 audited results (numbers end 31-Mar-2025)	High	RHP
Outcome of the Goa SPCB notice and the FIR against HWTPL	Medium	RHP litigation update
Any provision for the Portugal claim	Medium	RHP / issuer
Capex and equity needed for the CBG plants	Medium	RHP / management
Pre-IPO placement price and allottees	Low	RHP
Peer prices (DRHP uses 14-Aug-2025 closes)	Low	RHP

Verification

- **Restated P&L reproduces:** FY25 total income Rs 726.96 cr less expenses Rs 521.59 cr = Rs 205.37 cr, less JV share Rs 0.13 cr = PBT Rs 205.24 cr; less tax Rs 53.23 cr = PAT Rs 152.01 cr (p. 364).
- **Balance sheet balances:** FY25 total assets Rs 999.47 cr = equity Rs 662.76 cr + liabilities Rs 336.71 cr (pp. 362-363).
- **EBITDA reproduces the KPI table** for FY25 (Rs 207.48 cr, part 5).
- **Order book:** FY25 Rs 560.39 cr = WWT Rs 459.75 cr + SWT Rs 100.63 cr (pp. 49, 170).
- **Workbooks:** the toolkit verification gate passed on this build.

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